

JUBILEE HOLDINGS LTD

FINANCIAL RESULTS FOR THE YEAR ENDED

31 DECEMBER 2013

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED 31 DECEMBER 2013**

	2013	2012
	Kshs '000	Kshs '000
Gross earned premium revenue	18,087,946	15,399,514
Less: outward reinsurance	7,314,561	6,026,532
Net insurance premium revenue	10,773,385	9,372,982
Investment and other income	3,697,032	3,156,981
Net fair value gains on financial assets at fair value through profit or loss	1,887,877	443,547
Commission earned	1,684,345	1,352,848
Total income	18,042,639	14,326,358
Claims and policy holders benefits payable	16,636,045	12,198,203
Claims recoverable from re-insurers	5,650,491	3,642,666
Net insurance benefits and claims	10,985,554	8,555,537
Operating and other expenses	2,483,628	2,203,878
Commission payable	2,345,153	2,020,857
Total expenses and commissions	4,828,781	4,224,735
Result of operating activities	2,228,304	1,546,086
Finance costs	(47,629)	(47,937)
Share of result of associates	970,513	1,195,154
Group profit before income tax	3,151,188	2,693,303
Income tax expense	648,371	408,802
Profit for the year	2,502,817	2,284,501
Attributable to:		
Equityholders of the company	2,254,689	2,115,333
Non-controlling interest	248,128	169,168
Total	2,502,817	2,284,501
Earnings Per Share (Shs)		
Basic and diluted	38	35

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2013**

	2013	2012
	Kshs '000	Kshs '000
Profit for the year	2,502,817	2,284,501
Other comprehensive income		
<i>Items that may be reclassified to profit or loss</i>		
Other fair value gains/(losses)	-	4,466
Net fair value gains on financial assets	564,325	250,096
Net translation gain/(loss)	252,016	(246,105)
Total other comprehensive income, net of tax	816,341	8,457
Total comprehensive income for the year	3,319,158	2,292,958
Attributable to:		
Equityholders of the Company	3,089,936	2,170,837
Non-controlling interest	229,222	122,121
Total comprehensive income for the year	3,319,158	2,292,958

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2013

	2013	2012
	Kshs '000	Kshs '000
ASSETS		
Property and equipment	163,329	134,517
Investment properties	4,445,591	3,752,785
Investment in associates	6,465,583	6,128,566
Deferred income tax asset	90,753	96,643
- Quoted shares at fair value through profit or loss	5,910,179	4,409,470
- Quoted shares at fair value through other comprehensive income	1,463,256	892,407
- Unquoted shares through other comprehensive income	2,161,843	1,615,346
Mortgage loans	29,067	22,316
Loans on life insurance policies	512,945	398,836
Government securities at amortised cost	19,067,633	13,108,583
Commercial bonds	887,417	1,010,039
Receivables arising out of direct insurance arrangements	3,563,752	1,918,436
Receivables arising out of reinsurance arrangements	1,889,223	1,995,710
Reinsurers' share of insurance contract liabilities	6,913,943	4,590,189
Deferred acquisition costs	109,341	143,002
Other receivables	572,250	850,623
Current income tax recoverable	176,522	171,790
Deposits with financial institutions	6,161,262	5,540,923
Cash and bank balances	575,296	477,359
Total assets	61,159,185	47,257,540
LIABILITIES		
Deferred income tax liability	172,978	129,634
Insurance contract liabilities	15,274,972	12,187,603
Payable under deposit administration contracts	22,605,806	16,485,196
Unearned premium reserve	6,355,840	5,338,620
Creditors arising out of direct insurance arrangements	69,846	38,950
Creditors arising out of reinsurance arrangements	1,901,454	1,647,628
Trade and other payables	1,525,667	1,123,366
Dividends payable	194,004	150,646
Borrowings	1,305,953	1,295,706
Current income tax payable	153,083	160,502
Total liabilities	49,559,603	38,557,851
EQUITY		
Share capital	299,475	299,475
Reserves	819,427	(119,289)
Retained earnings	9,212,032	7,480,077
Proposed dividends	359,370	359,370
Equity attributable to owners of the company	10,690,304	8,019,633
Non-controlling interest	909,278	680,056
Total equity	11,599,582	8,699,689
Total liabilities and equity	61,159,185	47,257,540

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2013**

	Share Capital Kshs '000	Reserves				Retained Earnings Kshs '000	Proposed Dividends Kshs '000	Equity Attributable to Owners Kshs '000	Non-Controlling Interest Kshs '000	Total Equity Kshs '000
		Fair Value Reserves Kshs '000	General Reserves Kshs '000	Translation Reserves Kshs '000	Contingency Reserves Kshs '000					
Year ended 31 December 2012										
At start of year	272,250	(553,376)	70,000	(214,053)	472,125	5,861,745	245,025	6,153,716	557,935	6,711,651
Profit for the year	-	-	-	-	-	2,115,333	-	2,115,333	169,168	2,284,501
Other comprehensive income										
Other fair value gains	-	2,278	-	-	-	-	-	2,278	2,188	4,466
Change in fair value of financial assets through OCI	-	250,664	-	-	-	-	-	250,664	(568)	250,096
Transfer to retained earnings on disposal	-	(28,571)	-	-	-	28,571	-	-	-	-
Net translation loss	-	-	-	(197,438)	-	-	-	(197,438)	(48,667)	(246,105)
Transfer to contingency reserves	-	-	-	-	79,082	(79,082)	-	-	-	-
Total comprehensive income for the year	-	224,371	-	(197,438)	79,082	2,064,822	-	2,170,837	122,121	2,292,958
Transactions with owners:										
Bonus shares issued	27,225	-	-	-	-	(27,225)	-	-	-	-
Dividends: Final for 2011 paid	-	-	-	-	-	-	(245,025)	(245,025)	-	(245,025)
Interim for 2012 paid	-	-	-	-	-	(59,895)	-	(59,895)	-	(59,895)
Final for 2012 proposed	-	-	-	-	-	(359,370)	359,370	-	-	-
Total transactions with owners	27,225	-	-	-	-	(446,490)	114,345	(304,920)	-	(304,920)
At end of year	299,475	(329,005)	70,000	(411,491)	551,207	7,480,077	359,370	8,019,633	680,056	8,699,689
Year ended 31 December 2013										
At start of year	299,475	(329,005)	70,000	(411,491)	551,207	7,480,077	359,370	8,019,633	680,056	8,699,689
Profit for the year	-	-	-	-	-	2,254,689	-	2,254,689	248,128	2,502,817
Other comprehensive income										
Change in fair value of financial assets through OCI	-	560,627	-	-	-	-	-	560,627	3,698	564,325
Transfer to retained earnings on disposal	-	(186)	-	-	-	186	-	-	-	-
Net translation gain	-	-	-	274,620	-	-	-	274,620	(22,604)	252,016
Transfer to contingency reserves	-	-	-	-	103,655	(103,655)	-	-	-	-
Total comprehensive income for the year	-	560,441	-	274,620	103,655	2,151,220	-	3,089,936	229,222	3,319,158
Transactions with owners:										
Dividends: Final for 2012 paid	-	-	-	-	-	-	(359,370)	(359,370)	-	(359,370)
Interim for 2013 paid	-	-	-	-	-	(59,895)	-	(59,895)	-	(59,895)
Final for 2013 proposed	-	-	-	-	-	(359,370)	359,370	-	-	-
Total transactions with owners	-	-	-	-	-	(419,265)	-	(419,265)	-	(419,265)
At end of year	299,475	231,436	70,000	(136,871)	654,862	9,212,032	359,370	10,690,304	909,278	11,599,582

**CONSOLIDATED STATEMENT OF CASHFLOWS
FOR THE YEAR ENDED 31 DECEMBER 2013**

	2013	2012
	Kshs '000	Kshs '000
Cash flow from operating activities		
Profit before income tax	3,151,188	2,693,303
Adjustments for: -		
Depreciation	67,428	54,792
Impairment of insurance receivables		
Fair value (gains)/losses on equity investments at fair value through profit and loss	(1,887,877)	(443,547)
Net fair value gains/(losses) on disposal		
Investment income	(3,697,032)	(3,156,981)
Share of result of associates after income tax	(970,513)	(1,195,154)
Negative goodwill on acquisition of minority shares in a subsidiary		-
Operating profit before changes to receivables and payables	(3,336,806)	(2,047,587)
Change in deposit administration contracts	6,120,610	4,077,114
Change in insurance contract liabilities and reserves	4,104,587	2,351,771
Change in premium, reinsurance and other receivables	(3,831,231)	(2,073,659)
Change in reinsurance and other payables	870,045	509,561
Cash generated from operations	3,927,205	2,817,200
Interest paid		-
Income tax paid	(611,288)	(396,310)
Net cash inflow from operating activities	3,315,917	2,420,890
Cash flow from investing activities		
Rent, interest and dividend received	3,288,533	3,001,260
Dividends received from associates	194,667	153,568
Proceeds from sale of quoted shares	884,678	678,126
Proceeds from disposal of property and equipment	3,855	1,096
Proceeds from part redemption of shares in associate	506,851	-
Purchase of property and equipment	(96,042)	(99,432)
Net additions of investment properties	(480,388)	-
Purchase of quoted shares	(452,772)	(254,995)
Purchase of unquoted shares	(338,717)	(10,046)
Additional investment in associate	-	(76,576)
Mortgage loans advanced	(26,832)	(15,137)
Mortgage loans repaid	13,708	2,142
Loans on life insurance policies advanced	(176,470)	(176,818)
Loans on life insurance policies repaid	62,361	68,757
Net purchase of government securities	(5,959,050)	(2,844,566)
Net proceeds/(purchase) of commercial bonds	122,622	103,371
Net cash inflow/(outflow) from investing activities	(2,452,996)	530,750
Cash flow from financing activities		
Dividends paid	(419,265)	(304,920)
Net cash outflow from financing activities	(419,265)	(304,920)
Increase/(decrease) in cash and cash equivalents	443,656	2,646,720
Cash and cash equivalents at start of year	6,018,282	3,569,000
Exchange gain/(loss on translation of cash and cash equivalents in foreign currencies	274,620	(197,438)
Cash and cash equivalents at end of year	6,736,558	6,018,282

The Board of Directors of Jubilee Holdings Limited are pleased to announce the following audited consolidated results for the year ended 31 December, 2013

Condensed Statement of Comprehensive Income

	2012 Kshs '000	2013 Kshs '000	Growth %
Gross Written Premiums	20,250,838	23,415,280	16%
Gross Earned Premiums	15,399,514	18,087,946	17%
Net Insurance Premium Reserve	9,372,982	10,773,385	15%
Other Revenue	4,953,376	7,269,254	47%
Total Income	14,326,358	18,042,639	26%
Net Insurance Benefits and Claims	8,555,537	10,985,554	28%
Total Expenses and Commissions	4,224,735	4,828,781	14%
Result of Operating Activities	1,546,086	2,228,304	44%
Net Finance Cost	(47,937)	(47,629)	
Share of Results of Associates	1,195,154	970,513	-19%
Group Profit Before Tax	2,693,303	3,151,188	17%
Taxation	408,802	648,371	
Net Profit	2,284,501	2,502,817	10%
Other Comprehensive Income for the Year	8,457	816,341	
Total Comprehensive Income	2,292,958	3,319,158	45%
Earnings Per Share (Kshs)	35	38	9%
Dividends:			
Interim - paid	59,895	59,895	
Final - proposed	359,370	359,370	

Condensed Statement of Financial Position

	2012 Kshs '000	2013 Kshs '000	%
Share Capital	299,475	299,475	
Other Reserves	(119,289)	819,427	
Retained Earnings	7,480,077	9,212,032	
Proposed Dividend	359,370	359,370	
Non-controlling Interest	680,056	909,278	
Total Equity	8,699,689	11,599,582	33%
Represented by:			
Fixed Assets	134,517	163,329	
Investment Assets	30,939,512	40,430,569	
Insurance Assets	9,046,173	12,989,204	
Other Assets	1,119,056	839,525	
Cash and Cash Equivalents	6,018,282	6,736,558	
Total Assets	47,257,540	61,159,185	29%
Liabilities			
Insurance Liabilities	35,697,997	46,207,918	
Other Liabilities	2,859,854	3,351,685	
Total Liabilities	38,557,851	49,559,603	29%
Net Assets	8,699,689	11,599,582	33%

AUDITED CONSOLIDATED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2013

- Profits before tax Kshs 3.15 Billion up by 17%
- Gross premium Kshs 23.42 Billion up by 16%
- Total income Kshs 18.04 Billion up by 26%
- Short term business up 12%
- Life business up 24%
- Medical business up 25%

Annual General Meeting

The 76th ANNUAL GENERAL MEETING of the Shareholders of the Company will be held at the Nairobi Serena, Kenyatta Avenue, on Thursday May 29th 2014 at 11:00 a.m.

The full set of Financial Statements (including the Agenda for the AGM and Proxy Forms therefore) will be available on the Company's website www.jubileeinsurance.com from 8th May 2014. Limited copies of the Financial Statements will be available to shareholders on request to the Shares Registry at the Company's registered office with effect from 8th May 2014.

Dividend

The Directors recommend, for approval at the next Annual General Meeting, the payment of a final dividend of Kshs. 6.00 per share, subject to withholding tax where applicable making a total of Kshs. 7.00 per share or 140% for the year. The dividend will be paid on or about 14th July 2014 to members on the register at the close of business on 29th May 2014, subject to approval at the Annual General Meeting. To facilitate payment of the dividend, the register of members will be closed from 30th May 2014 to 13th June 2014, both days inclusive.

By Order of the Board

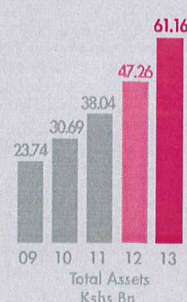
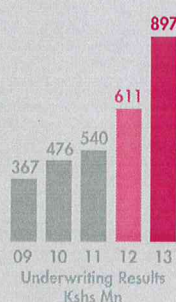
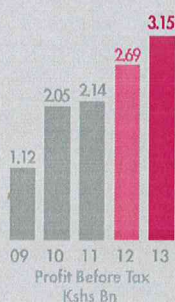
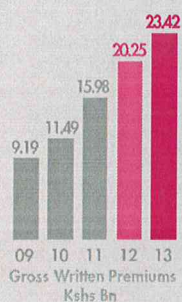
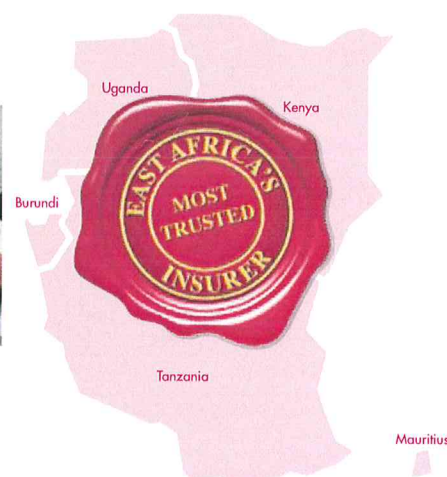
Nizar Juma
Chairman
19th March 2014

John Metcalf
Director



Overall 2013 Awarded

- Composite Insurer of the Year
- Medical Insurer Underwriter of the Year
- Human Resource Management Award (COYA)
- Risk Management Award
- The ICT Award
- Fraud Detection Award



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